

BANARAS HINDU UNIVERSITY

B.Com. (Hons.) F.M.M. — Semester IV Examination, 2015-16

Paper No. BCF-299: Financial Analysis

Time: 3 Hours

Maximum Marks: 70

*Instructions: Answer all questions. All questions carry equal marks (14 marks each).***Question 1.**

What do you understand by financial statements analysis? Discuss the importance of such Statement. [14]

OR

The following information is obtained from Ganesh Co. Ltd. in a current year: [14]

Sales	Rs. 10,00,000
Variable Cost	Rs. 6,00,000
Fixed Cost	Rs. 3,00,000

Find out the P/V ratio, BEP (Break Even Point) and MOS (Margin of Safety).

Question 2.

Explain the meaning of ratio analysis. Discuss its importance in financial analysis. [14]

OR

Calculate the amount of Opening debtors and closing debtors from the following figures: [14]

- Debtors turnover ratio: 4 Times
- Cost of goods sold: Rs. 6,40,000
- Gross Profit ratio: 20%
- Closing debtors were Rs. 20,000 more than at the beginning.
- Cash sales being $33\frac{1}{3}\%$ of credit sales.

Question 3.

What is funds flow statement? Give specimen of schedule of changes in the working capital and funds flow statement. [14]

OR

From the following figures prepare:

[14]

- (a) A schedule of changes in working capital.
- (b) Funds Flow statement.

Balance Sheets

Capital & Liabilities	2014 (Rs.)	2015 (Rs.)	Properties & Assets	2014 (Rs.)	2015 (Rs.)
Equity share capital	3,00,000	3,50,000	Fixed Assets (Net)	5,10,000	6,20,000
Preference share capital	2,00,000	1,00,000	Investments	30,000	80,000
Profit & Loss A/c	1,10,000	2,70,000	Current Assets	2,40,000	3,75,000
Debentures	1,00,000	2,00,000	Discount on Debentures	10,000	5,000
Current Liabilities	80,000	1,60,000			
Total	7,90,000	10,80,000	Total	7,90,000	10,80,000

Additional Information:

- (i) A Machine with book value of Rs. 40,000 was sold for Rs. 25,000.
- (ii) Depreciation charged during the year Rs. 60,000.
- (iii) Preference shares were redeemed at a premium of 15%.

Question 4.

What do you mean by “Cash Flow Statement”? How is it different from ‘Fund Flow Statement’? What is its utility? [14]

OR

From the following Balance Sheets, prepare Cash Flow Statement for the year ended 31st March, 2016: [14]

Balance Sheets

Capital & Liabilities	1-04-2015	31-03-2016	Properties & Assets	1-04-2015	31-03-2016
Capital	1,25,000	1,53,000	Building	35,000	60,000
Loan from X	25,000	—	Land	35,000	50,000
Loan from Bank	40,000	50,000	Machinery	80,000	55,000
Creditors	40,000	44,000	Stock	40,000	25,000
			Debtors	30,000	50,000
			Cash	10,000	7,000
Total	2,30,000	2,47,000	Total	2,30,000	2,47,000

Additional Information:

During the year a machine costing Rs. 10,000 with accumulated depreciation Rs. 3,000 was sold for Rs. 5,000.

Question 5.

What is Leverage? Explain the operating leverage and financial leverage. How these are calculated? [14]

OR

A firm has sales of Rs. 25,00,000, variable cost of Rs. 17,50,000 and fixed cost Rs. 5,00,000 and debt of Rs. 2,50,000 at 10% rate of interest. Compute operating, financial and combined leverages. [14]